

Buying a Home in Japan

What you can legally own, what it really costs, and the six findings that should end a deal on the spot.

What this guide covers

01 Orientation

Who may buy, what ownership does and does not give you, and the shape of the whole process.

03 Land and law

Road frontage, zoning, hazard maps, title and the disclosure document that carries the truth.

05 The transaction

Offer to handover, the clauses that protect you, inspection and settlement day.

02 What you are buying

Property types, the depreciation curve, land rights and the two seismic-code dates.

04 The money

Closing costs, annual taxes, who can actually borrow, and renovation budgeting.

06 After you own it

Living, renting, short-term letting limits, exit strategy and the deal-breaker summary.

Japan lets almost anyone buy. It does not let almost anyone borrow.

There is no nationality requirement, no residency requirement and no permit needed to own land or a building outright. Freehold title is the same title a Japanese national receives. The constraint is not the right to buy — it is the mortgage, and after that, the condition of what you bought.

Four beliefs to drop before you start

"Buying property gets me a visa."

It does not. Ownership and immigration status are entirely separate systems in Japan. Owning a house gives you no right to stay a single extra day.

"A ¥3 million house costs ¥3 million."

Budget the purchase price plus 6–10% in acquisition costs, plus renovation that routinely exceeds the price of the house itself.

"It's cheap because Japan is cheap."

It is usually cheap because of a specific, findable defect: no legal road access, a hazard zone, a leasehold, or a building nobody can insure or finance.

"I'll sort the details after I buy."

Nearly every defect in this deck is discoverable before contract and almost none are fixable after. Due diligence is the entire game.

The whole process, end to end

01 Define

Budget, region, use case, structure type, hold period.

02 Fund

Confirm cash or loan eligibility before viewing anything.

03 Search

Portals, agents, municipal vacant-house banks, off-market.

04 Inspect

Site visit, structural survey, renovation quotes.

05 Offer

Written letter of intent, price and conditions negotiated.

06 Disclosure

Important Matters
Explanation delivered and read to you.

07 Contract

Signature and deposit, typically 5–10% of the price.

08 Settle

Balance paid, title registered, keys handed over same day.

Typical elapsed time from accepted offer to keys: **four to eight weeks** for a cash purchase, eight to sixteen with a mortgage.

The five things people mean by "a house in Japan"

Type	What you own	Suits	Main risk
Detached house kodate	Land and building outright	Owner-occupiers, renovators	Structure and road access
Condominium mansion	A unit plus a share of the land	City living, easy letting	Underfunded repair reserve
Vacant house akiya	Usually land plus a liability	Hands-on buyers with cash	Renovation cost, no financing
Traditional house kominka	Pre-war timber frame and land	Guesthouses, long projects	Seismic upgrade, specialist trades
Resort property bessou	Land, or a leasehold on land	Ski and onsen users	Estate fees, thin resale market

22

years is the statutory useful life of
a wooden house

The building is a depreciating asset. The land is the asset.

Japanese tax law depreciates a timber-framed house over 22 years, and the market broadly follows: by roughly the mid-twenties a standard wooden house is valued at close to nothing, regardless of its actual condition. This is why a habitable house in a rural town can sell for less than a used car.

Two consequences follow. First, when you buy an older house you are mostly buying the plot — so judge the plot first. Second, money spent on renovation rarely returns on resale; spend it because you want to live there, not because you expect to recover it.

Reinforced-concrete condominiums depreciate far more slowly and hold value better in cities — but they carry monthly costs a detached house does not.

Check what right to the land you are being sold

Freehold shoyuken

You own the land itself, permanently, with no ground rent and no landlord. It can be sold, mortgaged, rebuilt on and inherited freely. This is what most listings are, and what you should assume you want.

- No expiry and no renewal fee
- Banks will lend against it
- Resale market is the full market

Leasehold shakuchiken

You own only the building and rent the ground beneath it. Common in resort areas and some older city blocks, and a frequent reason a listing looks unusually cheap.

- Monthly or annual ground rent forever
- Fees to the landowner to sell, rebuild or renovate
- A fixed-term lease can expire, with the land returned cleared
- Most lenders will not finance it

Ask for the property register extract and confirm the right in writing. "Land included" in an advertisement is not evidence.

Two dates decide how a house performs in an earthquake

Before June 1981

Old seismic standard. Designed to survive moderate shaking without damage, with no explicit requirement to stay standing in a severe quake. Expect: no mortgage, higher insurance, exclusion from most buyer tax reliefs, and a reinforcement bill if you want to sleep well.

June 1981 onward

New seismic standard. Required to avoid collapse in a severe earthquake. This is the line lenders, insurers and tax reliefs draw. Confirm by the building permit date, not the completion date — a house finished in late 1981 may have been permitted under the old code.

2000 onward

A further revision specific to timber houses: ground survey, defined foundation design, hardware connections at joints and balanced placement of bracing walls. In practice this is the level at which a wooden house performs as a modern buyer expects.

Many municipalities subsidise a seismic assessment and part of the reinforcement cost for pre-1981 houses. Ask the city office before you commit to a budget.

Why so many houses are empty — and what that means for you

9m+

vacant homes nationwide,
around one in seven of all
dwellings, and still rising

Driven by a shrinking and ageing
population, inheritance that nobody wants,
and a market that prices old buildings at
zero.

Municipal vacant-house banks

Most rural municipalities run a register of empty homes for sale or rent, often with registration requirements and sometimes with renovation or relocation grants attached. Terms differ by town — read that town's rules, not a generic article.

Cheap has a reason

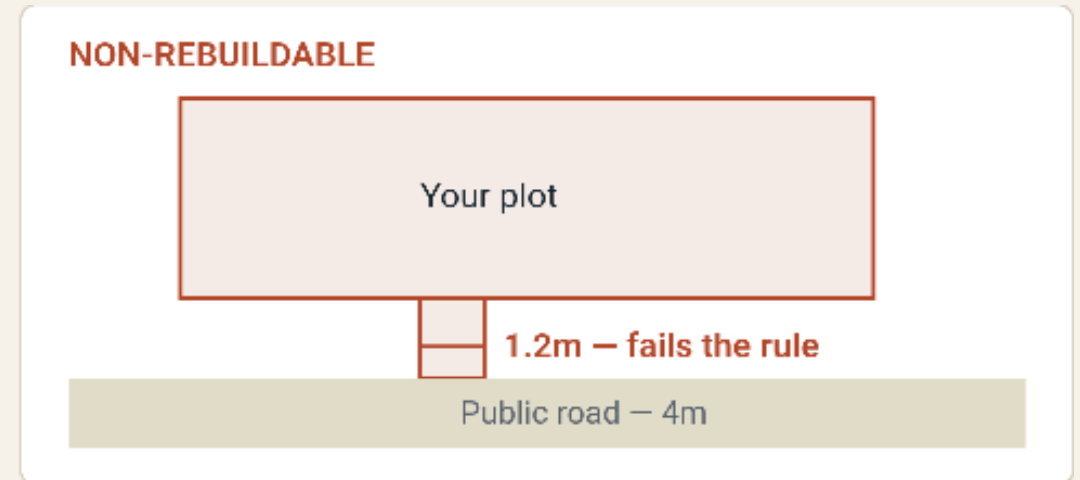
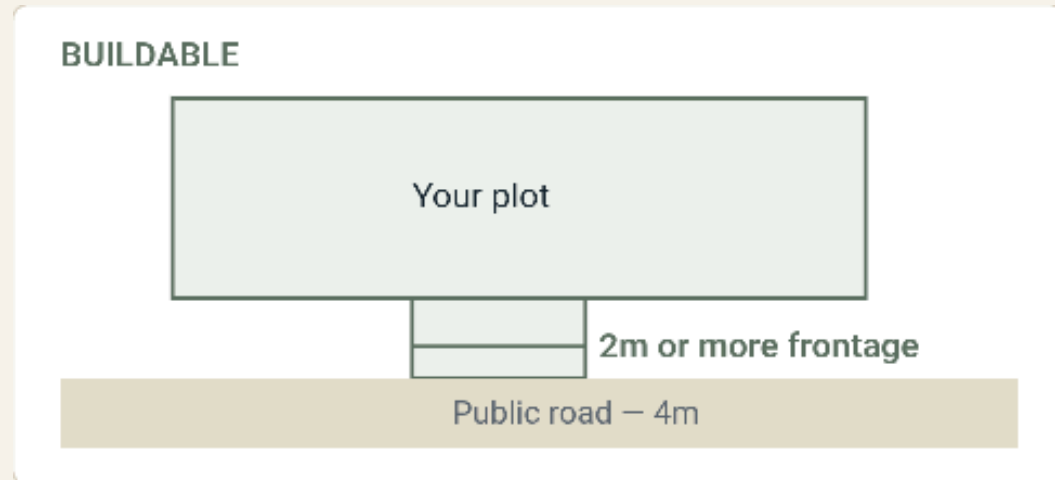
Listings under a million yen are usually carrying one of the defects in section three. That does not make them unbuyable — it makes them unfinanceable and unsellable, which is a very different proposition.

Neglect is now taxed

A municipality can designate a poorly managed vacant house and strip its residential land tax discount, multiplying the annual property tax bill. An empty house you leave to rot becomes an escalating cost.

The single most important question: can it be rebuilt?

A plot must touch a legally recognised road, at least 4 metres wide, along at least 2 metres of its boundary. Fail that and the site is **non-rebuildable** — the existing house may stand and may be repaired, but no replacement can be built.



Related traps: a road under 4m wide obliges you to set your building line back, permanently shrinking your buildable area; a private road means you need the co-owners' written consent to dig for utilities.

What the zoning lets you build, and lets you do

Use zone

Thirteen categories set what may operate on the plot. A quiet low-rise residential zone protects your outlook but may block running a guesthouse, café or office from the building.

Coverage and floor-area ratios

Two percentages cap the footprint and the total floor area you may build on the plot. They decide whether a replacement house can be as large as the one standing there now.

Urbanisation control area

Land designated to stay undeveloped. New building is restricted and permission is discretionary. Rural bargains frequently sit here — verify before you plan anything.

Legally non-conforming

A house that was lawful when built but exceeds today's limits. It may stand, but a rebuild must shrink to current rules — sometimes dramatically.

Also check: agricultural land, which needs committee permission to convert and cannot simply be built on, and forest land, which carries its own notification duties.

Read the hazard map before you read the floor plan

Every municipality publishes flood, landslide, storm-surge and tsunami maps, and agents are required to explain flood risk as part of formal disclosure. Do not wait for that meeting — look the address up yourself on day one.

Designation	What it means on the ground	Effect on the deal
Landslide caution zone	Slope failure is possible; evacuation planning applies	Insurance cost, resale drag
Landslide special zone	Buildings must be structurally reinforced; development is restricted	Treat as a deal breaker
Flood depth zone	Expected inundation depth in a design-level flood	Premiums rise sharply above 1m
Liquefaction risk	Reclaimed or alluvial ground may lose bearing capacity in a quake	Ground survey before offer
Tsunami inundation	Coastal area modelled for wave reach and evacuation routes	Check elevation and route on foot

Title, boundaries and the paperwork behind the plot

Unregistered buildings

Extensions and outbuildings are often missing from the register. They cannot be mortgaged, may be unlawful, and become your problem the day you sign.

Undivided inheritance

Rural plots are often still registered to a grandparent with several heirs. Registration of inherited property is now compulsory, but backlogs remain — every heir must sign.

Unconfirmed boundaries

Without a signed boundary agreement and a surveyed plan, the stated area is an estimate. Insist on a confirmed survey at the seller's cost, or price the risk.

Encroachments

Eaves, walls, pipes and trees that cross the line. Get a written acknowledgement from the neighbour before completion, not a verbal one.

Private roads and utilities

If access or the water and sewer lines cross someone else's land, you need recorded rights of passage and excavation consent — the cheapest thing to fix before contract, the hardest after.

Registered burdens

Mortgages, liens and provisional registrations all appear on the title extract. They must be discharged at settlement — confirm in writing who pays and when.

The disclosure meeting is where the truth is legally required

Before you sign, a licensed transaction specialist must hand you a written Important Matters Explanation and talk you through it in person or by video. This document is the one place where defects, restrictions and burdens have to be stated.

It is dense, it is in Japanese, and it is normally delivered on the same day as signature. Ask for it **at least three days in advance** and have it translated. A seller's agent who refuses is telling you something.

Read these lines first

- Road type, width and the frontage measurement
- Zoning, coverage and floor-area limits
- Flood, landslide and other hazard designations
- Water supply, drainage and gas — public or private
- Whether a building condition survey was carried out
- Known defects, past deaths on the property, disputes
- For condominiums: repair reserve balance and arrears
- Deposit handling, cancellation terms and penalty clauses
- Who bears the seller's liability for non-conformity, and for how long

What is changing for foreign buyers right now

Nothing currently stops a foreign national from buying. What is arriving is transparency: the government is building a clearer picture of who owns what, and is weighing whether security-related rules are needed.

Nationality on the register

From fiscal 2026, nationality must be declared when property is registered after a sale or inheritance — for every individual, Japanese buyers included. Have passport or residence documents ready.

Corporate reporting

Foreign companies acquiring large plots or land near sensitive sites must now report the nationality of directors and major shareholders. Buying through an offshore entity adds friction, not cover.

Rules under review

A government panel has been examining whether to regulate land acquisition and use, with proposals published through 2026 favouring monitoring and oversight. Legislation is expected to be debated rather than settled.

Practical read: buy in your own name, keep identity documents current, and expect a little more paperwork at registration. If a plot sits near a defence installation, a border island or a water source, take specific advice before committing.

The price on the listing is about 90% of what leaves your account.

Acquisition costs run roughly 6–10% of the purchase price on a typical second-hand home, and they land in three waves: at contract, at settlement, and then again several months later when the acquisition tax notice arrives in the post.

The acquisition costs, line by line

Item	Typical amount	When it falls due
Agent's commission	Capped at 3% + ¥60,000 plus consumption tax above ¥8m. At or below ¥8m, up to ¥330,000 including tax if agreed in advance	Half at contract, half at settlement
Contract stamp duty	A few thousand to tens of thousands of yen, scaled to the price band	At signature
Registration tax	Around 1.5–2% of assessed value for the land and up to 2% for the building, with reductions for qualifying owner-occupied homes	At settlement
Judicial scrivener	Commonly ¥50,000–¥150,000 to verify title and file the transfer	At settlement
Acquisition tax	3% of assessed value for residential land and housing, with deductions that can reduce it to nil on a qualifying home	Notice arrives months later
Property tax share	You reimburse the seller for the remainder of the calendar year	At settlement
Assessed value is the municipality's valuation and is normally well below the market price, so percentage figures above are smaller in cash terms than they first appear. Insurance and loan fees	Fire and earthquake cover; if borrowing, arrangement and guarantee fees plus mortgage registration tax	At settlement

What it costs every year after you own it

Fixed asset tax

1.4% of assessed value as a standard rate, billed by the municipality in instalments. Land under a home normally receives a large reduction — which a designated derelict vacant house can lose.

City planning tax

Up to 0.3% of assessed value, charged on top in urban promotion areas. It appears on the same bill, so read both lines.

Condominium charges

Management fee plus a repair reserve, paid monthly and rising over a building's life. On an older block these can exceed the mortgage on a cheap unit.

Insurance

Fire cover is effectively mandatory with a loan; earthquake cover is an add-on priced by structure and prefecture, and is capped relative to the fire sum insured.

Upkeep of an empty house

Ventilation, garden, snow clearing and a caretaker if you are abroad. Budget for it — an unattended house in a humid climate deteriorates within a single season.

Neighbourhood association

A modest annual fee in most rural districts, plus expected participation in cleaning days and festivals. Small money, large goodwill.

Who can actually get a Japanese mortgage

Your situation	Realistic outlook
Permanent resident	Treated broadly like a Japanese applicant. Access to the widest range of lenders and the longest terms.
Married to a Japanese national	Often workable with the spouse as co-borrower or guarantor, even without permanent residency.
Resident, no permanent residency	A narrower set of banks will consider you. Expect scrutiny of visa type and remaining term, employment history, a larger deposit, and a requirement to handle business in Japanese.
Living outside Japan	Domestic mortgages are generally unavailable. Assume cash, funds raised against property at home, or a specialist cross-border lender.
Buying a cheap old house	Status may not matter: lenders decline pre-1981 construction, non-rebuildable plots and low-value rural collateral regardless of the borrower.

Two properties at the same price are not equally financeable. Before falling for a house, ask the agent one question: **has anyone ever obtained a loan against this building?**

Renovation: budget it properly, and know the new rule

Changed in April 2025

An exemption that let most small wooden houses be renovated without a building permit was cut back. Timber houses other than single-storey buildings of 200 square metres or less now require a building confirmation application for major structural repair or alteration — meaning work touching more than half of the walls, columns, floors, beams, roof or stairs. Expect an architect, a formal application, extra weeks and extra cost, and on a legally non-conforming or non-rebuildable plot the work may not be permitted at all.

Get quotes before you offer

Walk a local builder through the property during your viewing window and put a real number on roof, foundation, wiring, plumbing and insulation.

Price the invisible work first

Termite damage, rot under the floor, an unreinforced foundation, asbestos in old boards and a tank-based sewage system consume budget before anything looks better.

Check the grants

Many municipalities subsidise seismic work, insulation, vacant-house renovation and relocation. Most require application before work begins, so ask first.

From offer to keys, in detail

Stage	What happens, and what you should be doing
Letter of intent	A written offer stating price, timing and conditions. Not binding, but it starts negotiation — attach your conditions here, not later.
Disclosure	The Important Matters Explanation is delivered and read to you by a licensed specialist. Demand it in advance and translated.
Contract and deposit	Both sides sign and you pay a deposit, commonly 5–10%. Until the other side begins performance you may walk away by forfeiting it; the seller withdraws by returning double.
Loan application	Formal application follows the contract. With a financing condition in the contract, a refusal releases you and returns the deposit — without one, it does not.
Final inspection	Walk the property again shortly before completion to confirm agreed clearance, removals and repairs have happened.
Settlement	Everyone meets at a bank. Balance is paid, existing mortgages are discharged, the judicial scrivener files the transfer and you receive the keys.

The four clauses that decide who carries the risk

Financing condition

If the loan is refused by a stated date, the contract ends and your deposit is returned. Without it, a refusal costs you the deposit. Non-negotiable if you are borrowing.

Liability for non-conformity

The seller's responsibility if the property does not match what was contracted. Private sellers of old houses routinely exclude it entirely or cap it at a few months — read the exact wording and price accordingly.

Condition at handover

Who clears the contents, removes the outbuilding, fells the tree, fixes the leak. Write each item into the contract with a date. Verbal promises evaporate at settlement.

Boundary and area

Whether the seller delivers a confirmed boundary survey, and whether the price adjusts if the surveyed area differs from the registered area.

A note on protection: stronger consumer safeguards apply when the seller is a licensed property company. When the seller is a private individual — which is most akiya — you are largely on your own contractual terms.

Inspect before contract, not after

Agents must tell you whether a building condition survey has been carried out and offer to arrange one. Very few buyers take it up. On a second-hand house it is the cheapest insurance you will ever buy.

A standard survey is visual and non-destructive: it looks for structural cracks, tilt, water ingress and decay in accessible areas. It does not open walls, and it is not a

Where a building qualifies, a defect insurance policy for existing homes can be arranged — and the same qualification often unlocks buyer tax reliefs.

Ask the surveyor to look at

- Foundation cracks and whether it is reinforced
- Floor level and any lean in the frame
- Termite damage under the floor and at the sills
- Roof covering, ridge, valleys and ceiling stains
- Electrical capacity and the age of the wiring
- Water supply pipes, drainage and any septic tank
- Damp, ventilation and mould in the underfloor space
- Whether extensions were ever permitted

Settlement day, and what you need in hand

Everything completes in a single meeting, usually at the buyer's bank, usually within a couple of hours. The judicial scrivener checks identities and documents, the money moves, and only then is the transfer filed.

Bring

- Identity documents and residence card or passport
- Personal seal, and a seal certificate if registered
- Proof of address for the registration filing
- Cleared funds in a Japanese account

If you live abroad

- An affidavit from your embassy or a notary in place of the seal certificate
- A tax agent appointed to receive Japanese tax notices
- A power of attorney if you cannot attend in person
- Transfer timing planned around currency and cut-off times

Leave with

- Keys and any building documents
- Receipt for the balance and settled adjustments
- Confirmation the transfer has been filed
- Utility transfer details and the insurance start date

Living in it, letting it, or letting it nightly

Live in it

The simplest path, and the one the tax system rewards. Owner-occupier reliefs on registration, acquisition tax and — where a loan and the property both qualify — an income tax deduction on the mortgage. Reliefs generally require a minimum floor area and, for older houses, evidence they meet the current seismic standard.

Rent it long term

Standard residential tenancies strongly favour the tenant and are hard to end. Fixed-term contracts exist and behave differently — decide which you are signing. Rental income is taxable in Japan, and non-resident landlords face withholding on rent in some circumstances. Budget for an accountant.

Short-term letting

Under the national home-sharing law you notify the authorities and are capped at **180 nights a year**. Local ordinances often cut that further or restrict seasons and districts. Operating without the cap means a hotel or inn licence, which brings fire-safety and building requirements an old house may not meet.

Check the condominium rules and the use zone too — both can prohibit short-term letting entirely, whatever the national law permits.

Decide who buys it from you before you buy it

In a shrinking rural market the buyer pool for your house may be a handful of people a decade. That is survivable if you planned for it and painful if you did not.

Ask three questions at the outset: who is the realistic next buyer, could they get a loan against this property, and what does it cost to demolish if nobody comes?

Demolition of a small wooden house typically runs into the low millions of yen, more with asbestos or poor access. Treat it as the floor under your downside.

Capital gains on sale

Japan taxes property gains at a notably higher rate if you sell within roughly five years of ownership, and lower after. Holding period matters more than in many markets.

Inheritance reaches assets here

Japanese inheritance tax applies to property located in Japan. If the plan is to pass it to children abroad, take cross-border advice early rather than late.

Giving land back

A scheme exists for surrendering unwanted inherited land to the state, but it is narrow, has conditions and requires a payment. It is not an easy exit.

Six findings that should stop a purchase

01 No legal road access

The plot cannot be rebuilt on. No lender, few future buyers, and severe limits on what you may do to the building.

02 Red-zone hazard land

A landslide special zone or deep flood designation. Structural obligations, high premiums and a permanent resale discount.

03 Title you cannot clear

Missing heirs, undischarged mortgages, unregistered buildings or a boundary nobody will sign off.

04 Structure beyond the

budget. Missing frame, a failed foundation or widespread termite damage, where repair exceeds the cost of rebuilding.

05 Use you cannot have

Zoning, building rules or condominium regulations that forbid the guesthouse, studio or business the purchase was for.

06 A seller who will not

disclose. Absence sight of the disclosure document, no survey access, no written answers. Absence of information is information.

Your next three steps

01 Define the brief

Complete the buyer profile form so the search is built around your use case, budget, region and appetite for work — not around whatever happens to be listed.

02 Set your limits

Work through the deal-breaker checklist and mark which findings are fatal, which are negotiable and which you can live with. Decide this before you fall for a house.

03 Bring us a property

Send the listing and we will check the road, the zoning, the hazard maps and the register before you spend money on a viewing trip.

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